

University of Minnesota - Twin Cities

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Curriculum Vitae**Fall 2016****ROCIO MADERA****Personal Data***Address*

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Citizenship: Spanish (F-1 Visa)

Major Fields of Concentration

Macroeconomics, Labor Economics, Quantitative Economics

Education

<i>Degree</i>	<i>Field</i>	<i>Institution</i>	<i>Year</i>
Ph.D.	Economics	University of Minnesota (expected)	2017
M.A.	Economics	University of Minnesota	2015
M.Sc.	Economics	CEMFI (Spain)	2011
B.A.	Economics	Universidad Carlos III de Madrid (Spain)	2009
Visiting Student		Université Paris I	2007 - 2008

Dissertation

Title: "Essays in Uninsurable Income Risk and Consumption Choice"

Dissertation Advisor: Professor Fatih Guvenen

Expected Completion: Summer 2017

References

Professor Fatih Guvenen	(612) 625-0767 guvenen@umn.edu	Department of Economics University of Minnesota 4-101 Hanson Hall 1925 Fourth Street South Minneapolis, MN 55455
Professor Ellen McGrattan	(612) 625-6714 erm@umn.edu	
Professor Morris Kleiner	(612) 625-2089 klein002@umn.edu	Humphrey School of Public Affairs University of Minnesota 301 19 th Avenue South Minneapolis, MN 55455

Honors and Awards

Fall 2016 *Hutcheson-Lilly Dissertation Fellowship*, University of Minnesota, Minneapolis, Minnesota
Summer 2016 *Graduate Research Program Partnership Fellowship*, University of Minnesota, Minneapolis, Minnesota.
2013 - 2015 *La Caixa Graduate Fellowship*
2011 - 2013 *Bank of Spain Graduate Fellowship*

Teaching Experience

Fall 2015 *Teaching Assistant*, Department of Economics, University of Minnesota, Minneapolis, Minnesota. Led recitation sections for *Principles of Microeconomics*.

Research Experience

2013 - present *Research Analyst/Visiting Scholar*, Research Department, Federal Reserve Bank of Minneapolis, Minneapolis, Minnesota.
2013 - 2016 *Research Assistant*, Research Department, Federal Reserve Bank of Minneapolis, Minneapolis, Minnesota. Research assistant to Professor Ellen McGrattan.
Summer 2015 *Research Assistant*, Department of Economics, University of Minnesota, Minneapolis, Minnesota/NBER. Research assistant to Professor Fatih Guvenen.
Summer 2013 *Research Intern*, Bank of Spain, Madrid, Spain
Summer 2012 *Research Intern*, Bank of Spain, Madrid, Spain
Summer 2010 *Research Assistant*, CEMFI. Research assistant to Professor Manuel Arellano and Professor Samuel Bentolila.

Working Papers

“Asymmetric Business Cycle Risk and Government Insurance,” with Christopher Busch, David Domeij, and Fatih Guvenen.

Work in Progress

“How Shocking are Shocks?,” job market paper
“Labor Income Dynamics and Uncertainty in Dual Labor Markets,” with Antonio Cabrales and Maia Guell
“De Facto Employment Protection, Dual Labor Markets, and Productivity”

Presentations

“Asymmetric Business Cycle Risk and Government Insurance,” presented at the Midwest Macro Meeting, University of Missouri, May 2014; SED Annual Meeting, Warsaw, Poland, June 2015; Midwest Macro Meeting, University of Rochester, November 2015.

Computer Skills

Matlab, Fortan, Stata

Languages

Spanish (native), English (fluent), French (intermediate), Portuguese (basic)

Abstract

“How Shocking Are Shocks?”

Empirical evidence on individual earnings over the life cycle reveals a substantial incidence of tail events -- changes larger than three standard deviations from the mean. This paper measures the extent to which such changes pass-through to household consumption and welfare, with a particular focus on the lumpy adjustment of durables. Using panel data on households' income, consumption, and wealth, I first characterize what tail events are in the data and show that they also happen at the household level, after private and public transfers are taken into account. I then build a life-cycle incomplete markets model, with two main additions. First, shocks are flexibly modeled to capture the excess kurtosis observed in the data. Second, in addition to choosing nondurable consumption expenditures, households are allowed to adjust the stock of durables, namely cars and houses, subject to adjustment costs. Empirical studies have long established the relation between changes in durable consumption and income shocks, but quantitative studies tend to ignore this margin of adjustment for households. I estimate the model using moments of earnings and consumption changes and calculate the pass-through of income shocks to the probability of adjusting durables, as well as the implied transmission to non-durable consumption. Finally, I use the model to calculate the welfare costs of idiosyncratic risk with tail events and the welfare value of durables adjustment.

“Asymmetric Business Cycle Risk and Government Insurance”

This paper studies the business cycle variation in higher-order income risk-i.e., risks that are captured by moments higher than the variance. A key focus of our analysis is the extent to which such risks can be smoothed within households or with government social insurance policies. To provide a broad perspective on these questions, we study panel data on individuals and households from the United States, Germany, and Sweden, covering more than three decades of data for each country. We find that the underlying variation in higher-order risk is remarkably similar across these countries that differ in many details of their labor markets. In particular, in all three countries, the variance of earnings changes is almost entirely constant over the business cycle, whereas the skewness of these shocks becomes much more negative in recessions. Government provided insurance, in the form of unemployment insurance, welfare benefits, aid to low-income households, and the like, plays a more important role reducing downside risk in all three countries; the effectiveness is weakest in the United States, and most pronounced in Germany. We calculate that the welfare benefits of social insurance policies for stabilizing higher-order income risk over the business cycle range from 1% of annual consumption for the United States to 4.5% for Sweden.

“Labor Income Dynamics and Uncertainty in Dual Labor Markets”

What are the implications of job stability for earnings risk over the life cycle? Do workers that spend the majority of their careers in temporary contracts have a different fate as compared to those in long-term jobs? In this paper, we characterize the dynamics of earnings uncertainty in dual labor markets; that is, rigid labor markets with high firing costs and strong unions in which temporary, unprotected jobs are nonetheless pervasive. We use administrative data from Spain and a method of moments to estimate the age profile of the persistence and variance of labor income shocks, separately for workers that spent most of their career on fixed-term contracts – job-unstable – and the rest – job-stable –. We use college-educated males as the benchmark group, in order to isolate other forms of heterogeneity. We find that, for that group, the job-unstable workers faces larger uncertainty, as represented by the variance of permanent shocks, at all ages after the age of 25. This uncertainty is U-shaped for the job-unstable group, while it is mostly decreasing in age for the job-stable group. The persistence of shocks is hump-shaped for both groups, peaking around the mid-career years at 0.95, but it is on average higher for the job-unstable group (0.85 as compared to 0.75). We perform the same analysis for females and less educated groups, with varying results. Finally, we illustrate the importance of capturing the dynamics of uncertainty of temporary workers for pricing education.